



Buffer Flaw.

Want to know how security flaws work? Here is some insight into that.
<http://dgit.in/FlawWork>



No Hello from Aliens?

Why haven't we received hello from aliens? Find out more with the host of Cosmos.
<http://dgit.in/HiAlien>



WHAT WILL YOUR PHONE COST IF MADE IN INDIA?

The price cut may be lesser than what you hoped for, but the Make In India story is much more than what you're paying.

Prasid Banerjee
prasid.banerjee@digit.in

Well, as it stands, not much, and there's a catch – way too many, actually. To start off, it's a really long term process. When we say long term, we mean really long term. Secondly, the price reduction may not exactly be as big as what you're looking for. "In theory, phone manufacturers can reduce the price by as much as 12.5% by passing down the import duty tax savings. Of course, not all of that would

be passed down to the consumer. Also, making, rather assembling phones in India, will have some overhead, initially. So, the consumer could see less than 5% reduction in pricing," says Mahesh Lingareddy, CEO and Co-Founder, Soft Machines, a company that develops semi-conductor IPs and other solutions.

Lingareddy's comment actually tells you that there's more than what meets the eye. Firstly, the myriad headlines you see today about phones being made or manufactured in India are exaggerations. All of those phones are simply assembled in India, which means, going by the above

statement, their prices can be reduced by less than 5%. That too depends on whether a company is willing to pass down what it saves to the consumer.

The 12.5% reduction in price sounds more promising, but again, only if it is passed down to the consumer. Consider, though, that a company would want to use the cost savings for research and development and other purposes, which means you're looking at something between 7-10% reduction in price. Now that's not much is it? What's more important is that even for this to happen, a phone actually needs to be 'made' in India. And that's